Costco Wholesale (COST) | Equity Research Report

Rating: HOLD | Current Price: $979.65 | Last Edited: March 26, 2026

Business Overview

Costco is in the Consumer Defensive sector. The sub-sector is discount stores. Costco makes money by selling merchandise, gas, ecommerce, and membership fees. Its three most revenue generating streams are: Food and Sundries, 40.6%; Non-Foods, 26.4%; Warehouse Ancillary, 20%. Another interesting point of revenue would be the Membership Fee which generates about only 2% of the total revenue but it is all purely profit.

Key Risks

Costco is in a competitive sub-sector with many competitors including Walmart and Target. Its whole corporation is primarily in the US (especially CA and WA) and in Canada, including both would be 86% of Net Sales. Another risk to take into consideration is the fact that there's a growing number of laws and regulations preventing big corporations such as Costco from buying land anywhere to use as warehouses. This might have an effect on Costco being able to grow and is a good idea to keep that in mind. Finally the last main risk to consider would be a sudden downgrade in brand quality of either Costco or Kirkland Signature (Costco's primary brand).

5-Year Financial Snapshot

All figures in $M

	Revenue	Gross Profit	Operating Income	Net Income	Free Cash Flow
2025	275,235	35,349	10,383	8,099	7,837
2024	254,453	32,095	9,285	7,367	6,629
2023	242,290	29,704	8,114	6,292	6,745
2022	226,954	27,572	7,793	5,915	3,501
2021	195,929	25,245	6,708	5,079	5,370

Year-over-Year Growth

	Revenue	Gross Profit	Operating Income	Net Income	FCF
2025-2024	8.17%	10.14%	11.83%	9.94%	18.22%
2024-2023	5.02%	8.05%	14.43%	17.09%	-1.72%
2023-2022	6.76%	7.73%	4.12%	6.37%	92.66%
2022-2021	15.83%	9.22%	16.17%	16.46%	-34.80%

Margins & Valuation

	Gross Margin	Operating Margin	FCF Margin	P/E	EV/EBITDA
2025	12.84%	3.77%	2.85%	51.8x	32.1x
2024	12.61%	3.65%	2.61%	53.9x	34.1x
2023	12.26%	3.35%	2.78%	38.4x	21.1x
2022	12.15%	3.43%	1.54%	40.5x	31.6x
2021	12.88%	3.42%	2.74%	40.0x	22.0x
5-yr Avg				**44.92x**	**28.18x**
Current				**50.54x**	**32.0x**

Investment Thesis

The current PE ratio of 50.54x and EV/EBITDA of 32x are both above their 5-year historical averages of 44.92x and 28.18x respectively, indicating Costco trades at a premium to its own history. Despite this, a HOLD rating is the right call. Over the last five years, Costco has grown across every key metric. Revenue increased from $195.9B to $275.2B, representing a 3-year revenue CAGR of 6.66%, reflecting consistent compounding growth in the core business. Operating income expanded from $6.7B to $10.4B, and free cash flow reached $7.8B in 2025. This consistent growth across all metrics justifies the valuation premium. The ideal entry point would be a pullback driven by external factors such as California natural disaster exposure, declining gas prices, or a broader macro selloff. If operating income growth decelerates significantly or turns negative, it signals margin compression and deteriorating operational efficiency, which would shift this rating to SELL.

The single number that best explains Costco's valuation is its 93% membership renewal rate, because nearly all of Costco's profit flows from membership fees, and that renewal rate proves customers pay upfront before buying anything, creating a recurring, predictable cash stream no competitor has replicated.